

time (*i*).] Should the person afterwards reappear in fact, he may assert his right (*j*); and accordingly, where the Court pays out money on presumption of death, it requires the recipient to give security to refund it if necessary (*k*). It is evident therefore that a trustee *in pais* — that is, out of

Court — cannot safely pay at the expiration of the [*349] * seven years, but must accumulate the fund until he is satisfied of the actual death, or a sufficient indemnity is offered, or the sanction of the Court has been obtained (*a*).

15. **Mistake.** — If an executor or trustee has made a wrong payment, and is afterwards obliged to pay over again to the person rightfully entitled, he is not chargeable with interest, provided the erroneous payment was a *bonâ fide* mistake (*b*), and of course a wrongful payment of interest will not create in the payee a right to the principal, for no wrong can create a right (*c*). The trustee of a creditor's deed made a mistake in payment arising out of a misapprehension of the law, which at that time was not clear, and the Court held that as he had acted *bonâ fide* and was not a mere trustee, but filled a *quasi* judicial position, he could not be made accountable to the creditors, who were left to recover the amount from the person wrongfully paid (*d*).

[16. **Income tax.** — If an executor or trustee pay the income of a trust fund to the *cestui que trust* for several years without deducting the income tax, he will not be allowed afterwards to deduct the amount of such income tax on the past payments from future accretions of income (*e*).]

17. **Claim by another.** — As a trustee cannot be expected to part with the fund unless the right of the *cestui que trust* be undisputed, if a third person claim improperly, or refuse

[(*i*) *Re Phene's Trusts*, 5 L. R. Ch. App. 139; *Re Lewes' Trusts*, 6 L. R. Ch. App. 356; *Re Corbishley's Trusts*, 14 Ch. D. 846.]

(*j*) *Woodhouslee v. Dalrymple*, 9 W. R. 475, 504; and see *Monckton v. Braddell*, 7 I. R. Eq. 30; 6 I. R. Eq. 352.

(*k*) *Dowley v. Winfield*, 14 Sim. 277; *Cuthbert v. Purrier*, 2 Ph. 199; and see *Davies v. Otty*, 35 Beav. 208.

(*a*) See *Re Phene's Trusts*, 5 L. R. Ch. App. 139; *Hickman v. Upsall*, 20 L. R. Eq. 136.

(*b*) *Saltmarsh v. Barrett* (No. 2), 31 Beav. 349.

(*c*) *Remnant v. Hood*, 2 De G. F. & J. 404.

(*d*) *Ex parte Ogle*, 8 L. R. Ch. App. 711.

[(*e*) *Currie v. Goold*, 2 Mad. 163.]